

The complaint

Company R complains that AmTrust Europe Limited (AmTrust) declined its claim for theft under its buildings insurance policy. Mr R brings this complaint on behalf of R, which is the policyholder. He employed the services of a Loss Assessor to handle matters for him. For ease, I'll refer only to Mr R throughout my decision, and reference to his actions, including those of his representatives, are taken to be on behalf of Company R.

What happened

Mr R had buildings insurance cover with AmTrust for a property he let. The property was divided into separate self-contained flats over several floors. The property was damaged by fire and the tenants had to move out. AmTrust accepted his claim under the policy and Mr R's Loss Assessor handled matters on his behalf.

While AmTrust was dealing with the fire claim and before reinstatement work had started, pipework and fixed household appliances were stolen from the property. Mr R made a further claim under his policy but AmTrust declined it, citing the unoccupancy exclusion.

Mr R complained to AmTrust because it knew his property was unoccupied due to the fire claim, and it remained so because of claim delays. AmTrust said the reason for the unoccupancy was irrelevant but it offered Mr R £100 compensation in recognition of the delay looking into his claim.

Our investigator didn't think AmTrust had done anything wrong. While there were some delays, which AmTrust acknowledged, he didn't think the property would've been occupied again anyway at the time of theft. Therefore, our investigator didn't think AmTrust had unfairly declined the theft claim.

Mr R didn't agree because the property was only unoccupied due to an insured peril (the fire), so the complaint was passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've decided not to uphold the complaint for broadly the same reasons as our investigator. My role is to decide whether AmTrust declined Mr R's claim in line with the policy and, if so, whether it was fair to do so in the circumstances. Our rules don't require me to comment on every piece of evidence so, instead, I'll focus on giving the reasons for my decision.

The issue, here, is that Mr R doesn't think AmTrust should've relied on the unoccupancy exclusion to decline his claim.

I can see that, under Section 1 – Property Damage, the policy provides cover for:

k. Theft or attempted theft

EXCLUDING (AmTrust's emphasis) any loss or damage:

- 1. Caused by theft or attempted theft which does not involve forcible and violent entry into or exit from the buildings...*
- 3. Caused by theft or attempted theft while the buildings are unoccupied*

AmTrust declined Mr R's claim for theft, relying on the policy exclusion for unoccupied properties, along with a specific endorsement in Mr R's policy schedule as follows:

Endorsements

011b. Unoccupied Properties (becoming vacant during the policy period)

It is hereby noted that General Policy Conditions - item 3 - unoccupied properties is amended to read the following:

a. If the Buildings become Unoccupied during the Period of Insurance Any cover during this Unoccupied period will be subject to compliance of the following:

(AmTrust then lists 12 requirements setting out how the property should be secured and records which should be kept of regular inspections.)

Once the Property is considered to be Unoccupied (See Change of Definition – Unoccupied) cover under this policy excludes the following*

- Damage arising from Insured Perils h, i, j, k and n*

**080. Change of Definition - Unoccupied*

It is hereby noted that the Definition of Unoccupied is replaced to read:

Any Building or part of Building or Flat which is empty, disused, Unoccupied, unfurnished, untenanted by You or Your tenants and has been so for a period of 60 days or more.

I'm satisfied that the terms and conditions of the policy are clear – cover is not provided under circumstances where Mr R's property is unoccupied and insured peril k (theft), takes place. Therefore, I'm satisfied that AmTrust declined Mr R's claim in line with the policy.

I've gone on to think about whether it was fair to decline the claim in the circumstances. I can understand why Mr R has concerns about this because the property was only unoccupied due to the insured peril of fire. He couldn't control that situation. However, neither could AmTrust and I can't see anything in the policy which provides for an exception to the endorsement dependent on the reason why the property was unoccupied in the first place. So I agree that Mr R doesn't have a claim here.

The final point I've considered is whether AmTrust caused any avoidable delays in handling Mr R's claims which otherwise would've enabled him to let the property again. While it acknowledged some delays in the way it handled Mr R's claim for the fire damage, and it has offered £100 in recognition of that, I can't say that those delays caused the property to be unoccupied for more than 60 days. Necessary reports, such as those for asbestos containing materials, ordinarily take time before reinstatement can start, and may even result in further delays. But, even if that weren't the case, the Loss Adjuster said the repairs from the fire would take around four months to complete. That would've taken the repairs beyond the 60-day mark. The damage from the fire was extensive, so I think it's reasonable to accept that, regardless of any delays, the property would unlikely have been fit for tenants within 60 days from the fire. So, I don't think it's fair to say AmTrust caused avoidable delays which had an impact on Mr R's circumstances overall. AmTrust offered £100 for the relatively small avoidable delays, but as there's no evidence to show those delays had a significant impact on Mr R or his company, I see no reason to ask it to increase its offer.

Overall, I'm satisfied that AmTrust declined Mr R's theft claim on behalf of company R in line with the terms and conditions of the policy and, on balance, it was fair in the circumstances. I'm not asking AmTrust to settle the claim.

My final decision

For the reasons given above, my final decision is that I don't uphold the complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask R to accept or reject my decision before 22 October 2021.

Debra Vaughan
Ombudsman